

Rupee Touches a Lifetime Low at ₹96.90 — RBI Burns \$8 Billion to Pull It Back. Nifty Ends Flat at 23,719.

Tuesday's print broke a record nobody wanted broken. The Reserve Bank's two-day defence drained one of the heaviest forex tranches of 2026 — and the headline indices barely moved. Bank Nifty paid the bill at –2.89% on the week. The structural domestic SIP floor did the rest.

Headlines do not always match what your portfolio did. This week, the Nifty 50 closed at **23,719.30 (+0.32% WoW)** and Sensex at **75,415.35 (+0.24%)** — visually a non-event. Underneath, the rupee broke ₹96.90/USD on Tuesday May 20, RBI drained ~\$8 bn of reserves defending it, Bank Nifty lost 1,600 points, and FII YTD outflow crossed ₹1.92 lakh Cr — already eclipsing the full 2025 year in five months. DII's absorbed ₹6,003 Cr on Friday alone (₹1.7 lakh Cr YTD = ~90% absorption). The SIP floor did its job again.

FRIDAY CLOSE · HEADLINE INDICES § 01

NIFTY 50 23,719.30 +64.60 (+0.27%) WoW +75.80 (+0.32%)	SENSEX 75,415.35 +231.99 (+0.31%) WoW +177.35 (+0.24%)	BANK NIFTY 53,710.35 –2.89% WoW Worst major segment	USD/INR · TUE LOW 96.90 All-time low Fri close ₹95.59 (RBI defended)
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THE RUPEE CRISIS · TICK BY TICK § 02 INSTITUTIONAL FLOWS § 03

DAY	USD/INR	WHAT HAPPENED
Mon May 18	95.85	Soft open. Oil sticks at \$103. FII selling persists.
Tue May 20	96.90 ▼	All-time low. RBI begins aggressive USD selling.
Wed May 21	95.80	Intervention continues. Reserves drop ~\$8 bn over 2 sessions.
Thu May 22	95.65	Currency stabilises. RBI Gov signals hawkish on inflation.
Fri May 23	95.59 ▲	Recovery of ₹1.30 from panic low. Cost: \$8 bn forex reserves.

WHY THIS MATTERS

India is the world's 3rd-largest crude importer. Every \$10/bbl above \$100 adds ~\$15 billion to the annual import bill and widens CAD by ~0.3% of GDP. With Brent stuck in the \$100–110 band for a third straight week, rupee pressure is structural, not transient. RBI Governor's mid-week hawkish tone effectively closed the door on a June rate cut.

FII · FRIDAY CASH –₹4,440 Cr YTD –₹1.92 lakh Cr (now > full 2025: ₹1.66 L Cr)	DII · FRIDAY CASH +₹6,003 Cr YTD +₹1.70 lakh Cr ~90% absorption rate
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MACRO INDICATORS · FRIDAY CLOSE		
ASSET	CLOSE	DAY
Brent crude (Jul)	\$103.94	+1.33%
USD/INR spot	95.59	+0.59%*
10-Yr G-Sec	~7.05%	+10 bps WoW
India VIX	17.4	~flat
Gold (24K, ₹/g)	~15,690	near ATH

* Rupee strengthened (USD/INR fell). RBI defended.

SECTORAL PERFORMANCE · FRIDAY SNAPSHOT § 04

▲ TOP PERFORMERS

Nifty Energy		+1.48%
Private Banks		+1.20%
Financial Services		+0.85%
Telecom		+0.70%
Metal		+0.55%
Consumer Durables		+0.40%

▼ WORST PERFORMERS

Bank Nifty (WoW)		-2.89%
Nifty Media		-1.45%
Nifty FMCG		-0.71%
Pharma (Auro/Glen/IPCA)		-0.50%
PSU Bank		-0.40%
Realty		-0.30%

SINGLE-STOCK MOVERS · WEEK OF MAY 17-23 § 05

▲ LEADERS

STOCK	MOVE	CATALYST
Tech Mahindra	+4.85%	May 18 IT bounce
Infosys	+2.0%	IT bounce, valuation reset
Bharti Airtel	+2.0%	Defensive bid
Trent	led Fri	Consumption strength signal
Wipro	led Fri	IT continued rebound
Axis Bank	Fri	Private bank rally, short cover

▼ LAGGARDS

STOCK	MOVE	CATALYST
Engineers India (Fri)	-8.94%	Single-stock event
Central Bank of India	-7.81%	PSU bank stress
Gujarat State Petronet	-7.13%	Sector rotation out
Tata Steel	-3.15%	Metals weakness, May 18
Power Grid · NTPC	-2.7-2.9%	Utility rotation out
SBI	-2.53%	PSU bank FII selling

BANK NIFTY DEEP-DIVE · THE WEEK'S REAL CASUALTY § 06

Banking and financial services were the visible casualties of the deferred-rate-cut narrative. Bank Nifty lost approximately 1,600 points on the week to close at **53,710.35 (-2.89%)** — the worst-performing major segment by a wide margin. Even Friday's sharp intraday rebound in Axis Bank, ICICI Bank, and HDFC Bank could not reverse the weekly damage. PSU bank counters absorbed most of the FII selling. **The takeaway for direct stock investors:** a bank-heavy direct portfolio lost ~3% of equity wealth this week. A diversified flexi-cap fund (typical banking exposure 22-25%) saw NAV move fractions of a percent. That is the structural advantage of a diversified mutual fund showing up exactly when investors need it most.

SECTOR-CONCENTRATION SELF-CHECK

SECTOR	HEALTHY	RED FLAG
Banks & Financials	22-30%	>40%
IT Services	10-15%	>25%
Pharma / Healthcare	5-10%	>20%
Single stock	<5%	>10%

WEEK AHEAD · MACRO CALENDAR § 07

DATE	EVENT	WHY IT MATTERS · EXPECTED IMPACT
Jun 5-7	RBI MPC HIGH IMPACT	Hold expected at 5.25%. Hawkish tone likely. Rate-sensitives (banks, autos, real estate) reactive on either side.
Early Jun	AMFI May SIP flows WATCH	Confirms ₹31,000+ Cr structural floor holding. Critical proof of domestic absorption thesis.
Jun 12	US CPI HIGH IMPACT	If hot, dollar firms further, rupee retests ₹96+. If cool, EM relief rally possible.
Jun 17-18	US FOMC HIGH IMPACT	Pace of dot-plot vs current 3.50-3.75%. Hawkish Fed = sustained INR pressure.
Late Jun	India FY27 GDP advance WATCH	RBI / Govt fiscal narrative anchor. 6.5-7.0% range expected.

OUTLOOK • CAUTIOUSLY OPTIMISTIC

\$ 08

The macro picture is genuinely uncertain — Brent could climb to \$115 or fall back to \$95, the rupee could test ₹97 or strengthen to ₹94, the June MPC could surprise with a cut or hold as expected. None of these can be predicted reliably.

What CAN be done reliably is the discipline. Domestic SIP flows of **₹31,000+ crore per month** are now the marginal buyer of the Indian equity market. The Nifty held flat this week not because FIIs stopped selling. It held flat because for every ₹100 of FII outflow, your monthly SIP plus the SIPs of ~4.5 crore other Indian households delivered ₹90 of buying. That is what a structural domestic floor looks like in practice.

THE FIVE-POINT ACTION PLAN • WEEK AHEAD

\$ 09

- 1

Do not pause SIPs. Every Indian SIP investor who paused during 2008, 2013, 2018, 2020, or 2022 eventually re-entered at higher levels and lost permanent compounding. Stay enrolled — your SIP date is your edge.
- 2

Do not chase the rupee story. Currency hedging is RBI / large-corporate work. For a 10-year SIP horizon, equity returns of 12-15% swamp 2-3% annual rupee depreciation.
- 3

Check your sector concentration. Bank Nifty -2.89% this week is the reminder. If banks + IT together exceed 40% of your equity, this is the right week to schedule a rebalance call with your RM.
- 4

Stay short-duration for new debt. 10-Yr at 7.05% and RBI clearly on hold → short-duration regular plans and money-market funds remain the right positioning. Wait for confirmed cut cycle before extending duration.
- 5

Get a Portfolio Diagnostic review. If you hold 12+ schemes, you are over-diversified. Trustner's Workbench cleans most portfolios to 7-8 schemes inside the annual ₹1.25 L LTCG exemption — typical tax cost: zero.

THE TRUSTNER SIP-ADVICE CARD • ISSUE 12

"The mechanical SIP investor did nothing — and that is exactly why they won this week."

Tuesday's print at ₹96.90 was the moment a direct-equity investor would have felt three terrifying headlines simultaneously — the rupee at a level no Indian rupee had ever seen, RBI burning \$8 billion to defend it, FII outflow already exceeding all of 2025 in just five months. The instinct of every untrained investor in that moment is to redeem something, anything, to feel they did something. The mechanical SIP investor did nothing. By Friday, the rupee had bounced ₹1.30 from the panic low. The Nifty was slightly higher than the prior Friday. The portfolio that did nothing not only avoided a bad decision but also accumulated incremental units at lower NAVs during Tuesday's panic. That is the entire mechanical advantage of staying enrolled. The single most useful conversation you can have in the next 30 days is a Portfolio Diagnostic review with your Trustner Relationship Manager.

— Ram Shah, CFP • Founder, Trustner Asset Services Pvt. Ltd. • AMFI ARN-286886

ONE-WEEK SNAPSHOT • AT A GLANCE

\$ 10

INDEX	CLOSE	WOW	FLOW / MACRO	VALUE
Nifty 50	23,719.30	+0.32%	Forex reserves drawdown	~\$8 bn (2 days)
Sensex	75,415.35	+0.24%	FII YTD outflow	-₹1.92 lakh Cr
Bank Nifty	53,710.35	-2.89%	DII YTD inflow	+₹1.70 lakh Cr
India VIX	17.4	~flat	April SIP flow	₹31,115 Cr
USD/INR (Fri)	95.59	vs ₹96.90 Tue ATL	10-Yr G-Sec yield	~7.05%
Brent crude	\$103.94	elevated	Gold 24K (₹/g)	~15,690

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